Gearing ratio and financial risk

Capital gearing is the balance between the capital a company owns and its funding by short- or long-term loans. Investors and lenders use it to assess risk.

How it works

Most businesses operate on some form of gearing (also called financial leverage). They partly fund their operations by borrowing money, via loans and bonds, on the condition that they make regular repayments of a fixed amount to the lender. If the level of gearing is high (in other words, the business has taken on large debt), some investors will be concerned about its ability to repay and see this as an insolvency risk. However, if the amount of operating profit is more than enough to repay interest, high gearing can provide better returns to shareholders. The optimum level of gearing for a company also depends on how risky its business sector is, how heavily geared its competitors are, and what stage of its life cycle it is at.

Equity finance (shares)

Pros

- Does not have to be repaid
- Shareholders absorb loss
- Good for start-ups, which may take a while to become profitable
- Angel investors share expertise
- Low gearing seen as a measure of financial strength
- Low risk attracts more investors and boosts credit rating

Cons

- Shared ownership, so company has limited control of decisions
- Shared profit in return for investors risking their funds
- Legal obligation to act in the interests of shareholders
- Heavy administrative load
- Complex to set up

Low gearing

Company has less debt

Company has more equity

Low proportion of debt to equity, also described as a low degree of financial leverage. Equity comes from:

- Reserves (retained profits)
- Share capital

Gearing ratio calculation

Analysts and potential investors assess the financial risk of a company with this calculation, presented as a percentage.

$$\frac{\text{LONG-TERM DEBT}}{\left(\text{SHARE CAPITAL + RESERVES + LONG-TERM DEBT}\right)} \times 100$$

Low gearing

A software company is going public. Its ratio of 21.2 percent tells investors that it has relatively low gearing and is well positioned to weather economic downturns.

$$\frac{\$1.2\text{ MILLION}}{\left(\$2\text{ MILLION} + \$2.455\text{ MILLION} + \$1.2\text{ MILLION}\right)} \times 100 = 21.2\%$$